

Chips Reset, Backbone Holds

S&P -2.63%, Nasdaq -4.18% as semiconductors post their sharpest session since 2020. A hot 172K May payrolls print lifts yields; the dividend sleeve holds at -1.28%.

THE SESSION

The market got the labor reading it asked for, and sold off on the answer. May nonfarm payrolls printed 172,000 against a consensus near 85,000 — better than double expectations — with the unemployment rate steady at 4.3%. A strong jobs number is ordinarily a tailwind. Friday it was a headwind, because it pushed the 10-year Treasury yield toward 4.5%, its highest since late May, and recalibrated the rate path away from near-term easing. The S&P 500 closed -2.63% to 7,384.67, the Nasdaq -4.18%, and the Russell 2000 -3.47%. The VIX rose to 21.51. The Dow held up best at -1.35%, a tell that the damage was concentrated, not broad.

Where it concentrated was semiconductors. The Broadcom guide earlier in the week had already established that forward AI revenue cadence — not the trailing print — was the binding constraint on premium-multiple names. Friday the market applied that lesson across the whole group. The Philadelphia Semiconductor Index posted its sharpest single-session decline since 2020, and the rotation that had been building all week resolved decisively: capital left high-multiple growth and AI exposure, and what cash flow and valuation discipline remained got rewarded.

For the committee, the session was a clean illustration of why we own the way we do. The Growth Portfolio absorbed the brunt of the chip and crypto re-pricing. The Dividend Strategy, anchored in staples, healthcare, insurance, utilities and defense, finished -1.28% — less than half the S&P's decline and roughly a fifth of the Nasdaq's. Eleven dividend names closed higher on a day the

tape fell more than two and a half percent.

IOWN Tactical: A single -2.63% session off near-record highs sits nowhere near our tactical buy thresholds, which begin at a -20% drawdown from the all-time high. This is not a signal to deploy cash; it is a reminder of what the dividend backbone is for. We own businesses that pay us to wait through exactly this kind of multiple compression.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

CL +4.09% DIVIDEND STRATEGY

Colgate-Palmolive led the dividend sleeve as consumer staples drew a defensive bid; the name surfaced among the S&P's top movers on the session.

CHD +2.78% DIVIDEND STRATEGY

Church & Dwight added to the staples strength, a low-beta cash-flow profile doing its job as growth multiples compressed.

ORI +2.61% DIVIDEND STRATEGY

Old Republic's insurance underwriting model carried no AI-valuation exposure and benefited from the rotation into durable value.

DGX +2.13% DIVIDEND STRATEGY

Quest Diagnostics held firm on healthcare's defensive characteristics as capital sought non-cyclical earnings.

EIX +2.12% GROWTH PORTFOLIO

Edison International was the Growth Portfolio's standout, a regulated utility offering rate-base stability against the day's discount-rate move.

SYK +1.48% DIVIDEND STRATEGY

Stryker advanced on medtech's defensive bid, diverging from peer Insulet weakness and reinforcing the sleeve's quality tilt.

DECLINERS

MRVL -16.74% GROWTH PORTFOLIO

Marvell gave back the back half of a roughly 90% three-week rally that had carried it to an all-time peak; the chip-momentum unwind and index-rebalance speculation combined for the day's sharpest move. The underlying business — record quarterly revenue and a constructive forward guide — is intact; the valuation reset is the story.

QCOM -10.98% DIVIDEND STRATEGY

Qualcomm carried the dividend sleeve's primary drag as the broad semiconductor re-pricing reached across every corner of the group, multiple compression rather than any company-specific catalyst.

AMD -10.86% GROWTH PORTFOLIO

Advanced Micro Devices fell with the sector after the Broadcom guide reset expectations for the pace of hyperscaler AI spending; the hot payrolls print amplified the discount-rate pressure on high-multiple chips.

LRCX -9.85%

DIVIDEND STRATEGY

Lam Research declined on semiconductor-equipment's sensitivity to the same forward-capex questions weighing on the chip names it supplies.

NVDA -6.20%

GROWTH PORTFOLIO

Nvidia participated in the group-wide reset despite no change to its own demand picture, a function of positioning and rising yields rather than fundamentals.

HUT -12.15%

GROWTH PORTFOLIO

Hut 8 fell with the crypto-miner complex as Bitcoin slipped to roughly \$61,300, its lowest in about two years, compounding the high-beta growth-sleeve pressure.

AEM -7.41%

GROWTH PORTFOLIO

Agnico Eagle declined as gold fell 3.5% on the yield surge, the metals miners trading inversely to the move in real rates.

ETHA -11.35%

DIGITAL ASSET ETF

The ether ETF sleeve led the digital-asset decline as the broad crypto risk-off and continued ETF outflows pressured the complex; IBIT closed -5.22% alongside it.

HOLDINGS NEWS

Analog Devices drew a price-target raise from JPMorgan on Friday even as ADI closed -6.38% with the broader chip group — a reminder that the session's move was a sector re-rating, not a verdict on individual fundamentals.

Defense names paused as coverage flagged the Pentagon's restructuring of the military-industrial base; within the committee, LMT (+0.91%) and GD (+1.45%) nonetheless finished higher, the backlog-backed cash flows holding against the noise.

Bitcoin's decline to a roughly two-year low framed the weakness across the crypto-adjacent holdings — COIN (-7.15%), MARA (-11.24%) and HOOD (-6.63%) — a sentiment and rate-driven move against a slower institutional accumulation cadence rather than a thesis break.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY

✓ BEAT ONE

-1.28%

vs. DVY +0.32% | SPY -2.58%

GROWTH PORTFOLIO

✗ TRAIL

-6.01%

vs. IUSG -3.74%

YEAR-TO-DATE

Dividend +13.97% vs DVY +10.10% / SPY +8.16%

Growth +14.07% vs IUSG +9.64%

The Dividend Strategy beat the S&P (SPY -2.58%) by a wide margin and trailed only DVY, which finished modestly green on the staples-and-value rotation. Year-to-date the sleeve leads both benchmarks — +13.97% against DVY's +10.10% and SPY's +8.16%. The Growth Portfolio bore the full weight of the chip and crypto re-pricing at -6.01% on the day, yet still holds a YTD lead over IUSG, +14.07% versus +9.64%. One session does not unwind a year of compounding.